

company trading at 50x earnings that grows 30% annually over the next five years could still deliver a 17.4% return even if its P/E falls to 30x at the end of that span. However, there is a perishability to such high valuations on the front end. If that company grows at a respectable 15% but its P/E shrinks to 20x, then the stock price would be lower by almost 20%, a negative 4.3% IRR in those five years. And that's only if you were right about the earnings over that five-year period.

PSYCHOLOGY/RISK

Thoroughly understanding a business and the competitive landscape of its industry is necessary but not sufficient. This process is significantly enhanced by an ability to work through corporate financial statements (including the footnotes).

There's another crucial skill in successful investing—understanding investor psychology, both your own and that of others. Are you likely to act without a good thesis and proper due diligence, just because you heard a good story? Or are you more apt to not act at all, because you are fearful of losing money? Can you recognize a mistake and sell a stock, or are you more likely to hold on, hoping for a higher price, believing you haven't really experienced a loss until you actually sell the holding? In the last few decades, the study of investor psychology called behavioral finance has taken on a growing role in the field. While we will not rid ourselves of emotions, which make us human, we should recognize the psychological factors—the fear and greed, the inertia as well as hyperactive trading—that can weigh on investors. These are necessarily bound up with the due diligence and rational decision-making that shape investment decisions. Investors need to recognize their own behavioral settings and biases, and compensate for them as warranted.

Attitudes toward risk are always at the core of investing. We cannot eliminate risk, but we can seek to identify it, understand it, minimize it, and be adequately compensated for it. We recognize that mispriced risk